the border regions. China and Nepal established diplomatic relations in 1955 and the first direct talks between representatives of the Chinese and Nepalese governments were held in Kathmandu in August and September 1956. Immediately after those talks, Tanka Prasad Acharya became the first Nepalese prime minister in the post-Rana era to visit China, where he held talks with his Chinese counterpart Zhou Enlai. China agreed to provide 60 million Indian Rupees (which was more readily accepted in Nepal than the non-convertible Chinese renminbi) to help implement Nepal's first five-year plan.[20] In the same year, Nepal recognized China's sovereignty over Tibet and, in January 1957, Zhou Enlai visited Nepal. Relations between the two countries were cordial, a fact that did not really bother New Delhi at the time, since Sino-Indian relations had not yet turned sour.

China's policy towards Nepal saw a shift when a border dispute in 1959 led to the movement of Chinese troops towards the Nepalese border. Chinese maps showed Nepalese territory as part of China, and the Chinese made claims to Mt Everest, which they call Chomolungma.[21] The Tibetan uprising in that year also saw an influx of refugees to Nepal. Over 20,000 Tibetans fled to Nepal, where most of them remained, even as a significant number continued to India, where they were more welcome and freer to carry out their political activities.

The border issue was resolved when Nepal's Prime Minister Bishweshwar Prasad Koirala visited Beijing in March 1960 and signed a Treaty of Peace and Friendship with the Chinese, which included a provision to locate and demarcate the common border. Then, in September–October 1961, after the royal coup and the introduction of the panchayat system, King Mahendra and his queen paid an official state visit to China, where they met President Liu Shaoqi and Premier Zhou Enlai. A Sino-Nepalese boundary treaty was signed on 5 October, under which 'the formal delimitation of the entire boundary between the two countries would be made on the basis of the traditional customary boundary line in accordance with the principles of equality, mutual benefit and mutual accommodation'.[22]

On the last day of the king's visit, 15 October, an agreement was signed to construct a highway from Tibet to Kathmandu. The two governments would be responsible for the construction of the sections of the highway within their respective territories, but China pledged to provide Nepal with